

Their incentive is that a healthy platform should increase the value of their share in the platform's governance. For example, because of poor governance, the buffer pool could be insufficient to pay back the protocol debt. If all other measures to repay the debt have failed, *global settlement* is a safety mechanism that can be used in which newly minted MKR tokens are auctioned off in exchange for DAI and the DAI are used to repay the debt. Global settlement dilutes the MKR share, so stakeholders are incentivized to avoid it and keep protocol debt to a minimum.

MKR holders are collectively the owners of the future of MakerDAO. A proposal and corresponding approved vote can change any of the parameters available on the platform. Other possible parameter changes include supporting new collateral types for vaults and adding upgrades to functionality. MKR holders could, for instance, vote to pay themselves a dividend funded by the spread between the interest payments paid by vault holders and the DAI savings rate. The reward of receiving this dividend would need to be weighed against any negative community response (e.g., a backlash against rent seeking from a previously no-rent protocol) that might decrease the value of the protocol and the MKR token.

A number of features make DAI attractive to users. Importantly, users can purchase and use DAI without having to generate it in a vault – they can simply purchase DAI on an exchange without needing to know the underlying mechanics of how they are created. Holders can easily earn